leap-of-faith questions, David concluded that the results refuted his business-to-business hypothesis, and so he decided to pivot once again.

All this time, David was learning and gaining feedback from his potential customers, but he was in an unsustainable situation. You can't pay staff with what you've learned, and raising money at that juncture would have escalated the problem. Raising money without early traction is not a certain thing. If he had been able to raise money, he could have kept the company going but would have been pouring money into a value-destroying engine of growth. He would be in a high-pressure situation: use investor's cash to make the engine of growth work or risk having to shut down the company (or be replaced).

David decided to reduce staff and pivot again, this time attempting what I call a platform pivot. Instead of selling an application to one customer at a time, David envisioned a new growth model inspired by Google's AdWords platform. He built a self-serve sales platform where anyone could become a customer with just a credit card. Thus, no matter what cause you were passionate about, you could go to @2gov's website and @2gov would help you find new people to get involved. As always, the new people were verified registered voters, and so their opinions carried weight with elected officials.

The new product took only one additional month to build and immediately showed results: 51 percent sign-up rate, 92 percent activation rate, 28 percent retention rate, 64 percent referral rate (see the chart below). Most important, 11 percent of these customers were willing to pay 20 cents per message. Most important, this was the beginning of an actual growth model that could work. Receiving 20 cents per message might not sound like much, but the high referral rate meant that @2gov could grow its traffic without spending significant marketing money (this is the viral engine of growth).

	BEFORE PIVOT	AFTER PIVOT